

Tibrewal, Senior VP and Fund Manager (Equity) at Kotak Mahindra Asset Management Company.

In FY22, value-based strategies did much better than momentum-based ones because of the rise in interest rates and a focus on profitability. “The outperformance of value stocks is likely to continue in the first half of CY2023, led by a pick-up in credit growth and a recovery in domestic cyclical stocks. Growth as a theme could come back by mid-2023. By then, we could reach the peak of the interest rate cycle,” says Gopkumar of Axis.

Notably, India is among the few major stock markets that delivered positive returns in 2022. But indicators suggest that the market is overvalued. According to Motilal Oswal, in P/E terms, the MSCI India index is trading at a 155 per cent premium to the MSCI EM index, a historic high. This is against the historical average premium of 64 per cent. “The trend will continue and perhaps value will continue to perform in India with relatively inexpensive sectors likely to perform better in CY23,” says Nitin Bhasin, Co-head of Ambit Institutional Equities and Head of Research at Ambit Capital.

THE KEY MARKET THEMES

84 | While various themes emerged in 2022, the performance of the domestic equity market was supported by favourable government policies. For instance, the Union Cabinet approved 50 per cent financial incentives for the manufacture of semiconductor fabs across

technology nodes as well as for compound semiconductors, packaging, and other chip facilities. With the government focussing on performance-linked incentive (PLI) schemes for the manufacturing sector, will the space emerge a winner?

“We believe that the manufacturing sector will gain further momentum in 2023. India could emerge as a global manufacturing hub in the next few years as multiple triggers indicate that we are on the cusp of a revival in this sector. These triggers include the Make in India initiative, PLI-led incentives, a competitive tax structure, and balance sheet strength of the Indian corporates,” says Gopkumar.

Along with manufacturing, housing and banking will be the two other sectors to watch out for in 2023, given their improved economic outlook and the pick-up in credit growth, say experts. Moreover, affordable housing may get a further push in the upcoming Budget.

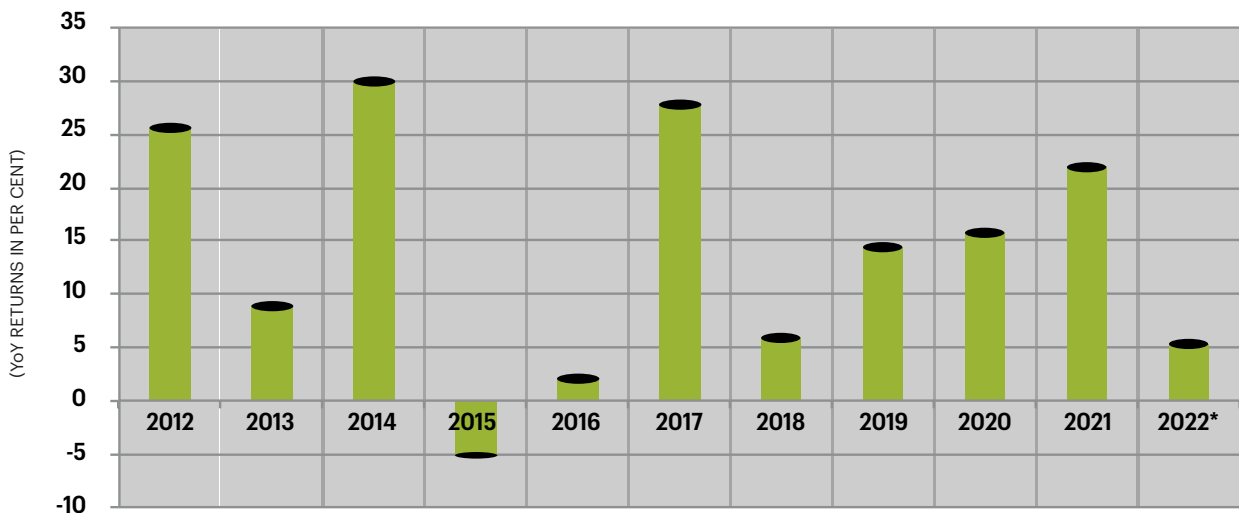
Gopkumar believes that the demand momentum in the commercial vehicles (CV) segment is likely to sustain, and he expects the CV cycle to maintain its impetus driven by the pick-up in economic activities and the government’s focus on infrastructure.

LARGE-, MID- OR SMALL-CAPS?

The key to successful investing is diversification. All three indices—large-, mid-, and small-caps—have been moving in tandem since last year. But, while large-caps

VOLATILE BUT POSITIVE

The BSE Sensex has given more than 10 per cent annualised returns six times since 2012



*DATA AS OF DECEMBER 16, 2022; **SOURCE** ACE EQUITY